Baxter Labs

The Profit Leak Self-Assessment.

A 12-question diagnostic for owners and managing partners of $5M–$50M professional service firms.

Before we start.

If you're reading this, you probably already have a feeling that something is off. Revenue is growing. The team is growing. But profit isn't quite keeping pace, and you can't put your finger on exactly why.

You're not wrong. That feeling is almost always right.

This self-assessment walks through the same five categories I keep finding margin leaking in firms your size: Payroll Drift, Vendor Sprawl, Billing Lag, Software Redundancy, and Approval Bottlenecks. These are the same five categories covered in the BaxterLabs field guide, The 5 Profit Leaks Hiding in Every $5M–$50M Professional Service Firm. If you've already read it, this is the next step. If you haven't, that's fine too. The questions stand on their own.

There are 12 questions. Each one asks you to rate how well your firm tracks and acts on a specific area, on a scale from 1 (solid) to 5 (blind spot). Higher scores mean more blind spots, which means more exposure.

At the end, you'll add your answers, select your revenue range, and get an estimated annual exposure number. It's not a precise figure. It's a range based on what these patterns typically produce in firms your size. But it's real enough to tell you whether a closer look is worth your time.

The whole thing takes about five minutes. Be honest with yourself. If a question makes you uncomfortable, that discomfort is data. Trust it.

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Payroll Drift

1. We track revenue produced per employee at least quarterly and compare it against each role's fully loaded cost.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

2. When we hire someone new, we can tie that hire to a specific revenue expectation and review their actual production within the first 12 months.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

Vendor Sprawl

3. One person or team owns a current, complete list of every vendor the firm pays, and that list gets reviewed at least once a year.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

4. Before any vendor contract renews, someone reviews the terms, compares pricing to market, and confirms we still need the service.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

5. We've checked whether different departments or offices are paying separate vendors for services that overlap or do essentially the same thing.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

Billing Lag

6. We know the average number of days between when work is completed and when the invoice goes out, and we actively manage that number.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

7. We know our current DSO (days sales outstanding) and have a specific target we manage against.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

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8. We track the dollar amount of billable time that gets written down or written off each quarter, and we know the trend.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

Software Redundancy

9. Before renewing any software contract, someone reviews how many licensed seats are actually being used and cancels the ones that aren't.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

10. We've audited our software stack in the past year to identify tools that do essentially the same thing, purchased by different teams at different times.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

Approval Bottlenecks

11. If the primary decision-maker in our firm is out for a week, pricing decisions, vendor approvals, and client proposals continue moving at a normal pace.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

12. We know the average number of days it takes for a decision that requires leadership approval to get made, and we're comfortable with that number.

1	2	3	4	5
☐	☐	☐	☐	☐
Solid, we track this and act on it	Mostly good, we track, don't always act	Unclear, we don't track consistently	Weak, we know it's a gap	Blind spot, we don't measure this at all

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Your score.

Add your answers. Your total will fall between 12 and 60. A higher score means more blind spots and more exposure.

My firm's annual revenue:

- ◯ $5M–$10M
- ◯ $10M–$25M
- ◯ $25M–$50M

My industry:

- ◯ Staffing
- ◯ Accounting
- ◯ Law
- ◯ Architecture
- ◯ Consulting
- ◯ Other: _____

My total score: _____ / 60

Low Risk (12–25)

1–2% of revenue midpoint

If your score falls here, your firm is tracking most of these areas and acting on what you find. That's less common than you'd think in the $5M to $50M range, and it means the financial visibility most firms are still building, you've already got. I'd still encourage you to look at any question where you scored a 3 or higher, because even well-run firms tend to have a corner or two where things accumulate quietly. But the exposure estimate below should feel consistent with what you already sense. Your instincts on this are right.

Moderate Risk (26–40)

3–5% of revenue midpoint

If you're in this range, you're in good company. This is where most firms land, and it usually matches a feeling that's been sitting in the background for a while: revenue is growing, the team is growing, but profit isn't quite keeping pace and you can't put your finger on exactly why. The reason is usually that you're tracking some of these areas but not all of them, and the ones you're not tracking are where margin quietly leaks. The exposure estimate below will give you a sense of scale. It's not a precise number, but it's a reasonable range based on what these patterns typically produce in firms your size. If the number feels bigger than you expected, that's worth paying attention to. Your gut brought you to this assessment for a reason.

High Risk (41–60)

6–10% of revenue midpoint

A score in this range tells me your firm has grown past the point where informal controls can keep up, but the financial infrastructure hasn't caught up yet. That's not a criticism of how you've run the business. It's a pattern I see in almost every firm that grows quickly through the $5M to $50M range. Revenue growth creates complexity, and the finance function that worked at $5M doesn't surface the same things at $15M or $25M. The exposure estimate below is going to be a meaningful number. The good news is that most of what's leaking is recoverable once you can see it. The hard part isn't fixing the leaks. It's making them visible in the first place.

Your estimated annual profit leak exposure is $_____ to $_____.

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What to do with this score.

You don't need to hire anyone to start. Pick the two or three questions where you scored highest and do one thing this week. Pull a vendor list and look for duplicates. Ask your billing team how many days sit between work-complete and invoice-sent. Run a seat count on your three biggest software contracts. You already have the data. The question is whether anyone has looked at it through this lens.

If your exposure estimate landed higher than you expected, or if the questions themselves made you uncomfortable, that feeling is worth paying attention to. It usually means the gap between what your financial reports show you and what's actually happening inside the firm is bigger than you thought. That gap is where profit leaks live.

The BaxterLabs profit leak diagnostic is built for exactly this. It won't tell you something you don't already sense. It will make the invisible visible and give you a specific roadmap to fix what we find. Fixed price at $12,500, no scope creep, and a comprehensive package of materials you can take directly to your leadership or Board.

If you'd like to walk through your situation and see if BaxterLabs would be a good fit, I'm happy to do a free 30-minute diagnostic review call. No cost, no obligation, just a conversation.

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How we calculate the exposure range.

The exposure range on the scoring page is not a guarantee and not a quote. It's an estimate based on three inputs: your total score, the midpoint of the revenue range you selected, and the exposure percentages that these five categories typically represent in professional service firms.

Here's how the math works. Your total score places you in one of three bands: Low (12–25), Moderate (26–40), or High (41–60). Each band maps to an exposure percentage range: Low is 1–2% of your revenue midpoint, Moderate is 3–5%, and High is 6–10%. The revenue midpoints are $7.5M for the $5M–$10M range, $17.5M for the $10M–$25M range, and $37.5M for the $25M–$50M range.

So if you selected the $10M–$25M range and scored 34, your exposure estimate would be 3–5% of $17.5M, which is $525K to $875K. That's the range displayed.

These percentages come from the patterns we observe in profit leak diagnostics across professional service firms in the $5M to $50M range. Your actual recoverable profit could be higher or lower depending on the specific characteristics of your firm, your industry, and how long these patterns have been accumulating. The estimate is meant to give you a directional sense of scale, not a precise figure.

If the number surprises you, that's worth exploring. A 30-minute diagnostic review call can help you figure out whether the full diagnostic is worth a closer look.

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